EXCLUSIVE

IAS PRELIMS 2026

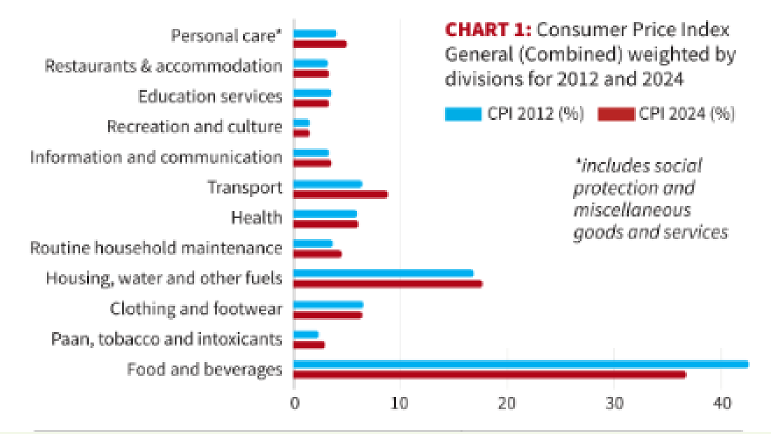
CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 58

INDIAN ECONOMY - 14



CPI DATA FOR JANUARY 2026 IS BASED ON THE NEW SERIES OF THE CONSUMER PRICE INDEX

- Retail Inflation as per the new series of the Consumer Price Index (CPI) stood at 2.75% in January 2026.
- The new series incorporates an updated base year of 2024 from the previous base year 2012.
- There is a wider coverage of goods and services.
- New weights are given to these goods and services based on consumption pattern revealed in the latest Household Consumption Expenditure Survey (HCES 2023-24).

Consumption behavior, market structures and the compositions of household expenditure have evolved and the new CPI structure reflects these changes.

IMPORTANT ASPECTS TO BE NOTED DOWN IN THE CONTEXT OF NEW SERIES OF CPI

Learning Space

1. The total number of items covered under the new series has increased to 358 from the 299 items in the older series.

2. Among these, the number of goods covered has increased to 308 from 259, and the number of services included has gone up to 50 from the earlier 40.

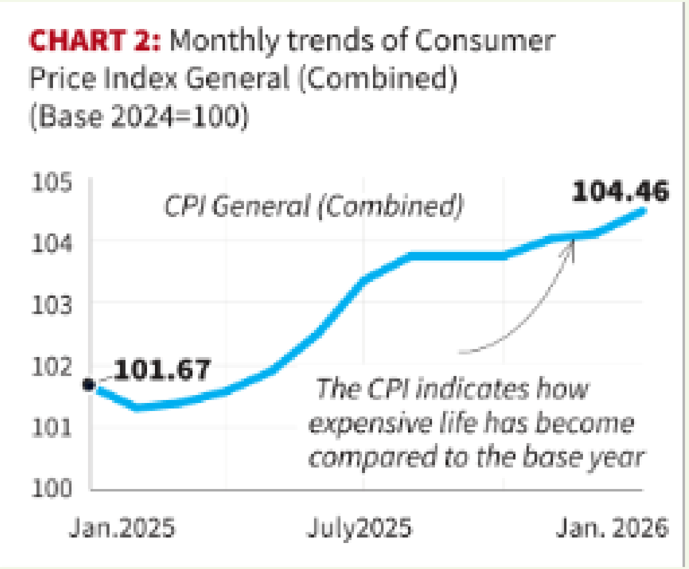
	2012 series	2024 series
Rural markets	1,181	1,465
Urban markets	1,114	1,395
Online markets	NIL	12
Towns	310	434
Items (weighted)	299	358
Goods	259	308
Services	40	50

3. Data is collected from 1,465 rural markets, up from 1,181. The number of urban markets covered has gone up to 1,395 from 1,114.

4. The new series also collected data from 12 online marketplaces, a new category that has been included now.

5. The new series provides more granular data by dividing the underlying goods and services into 12 broad groups compared to the six groups under the older series.

IMPORTANT ASPECTS TO BE NOTED DOWN IN THE CONTEXT OF NEW SERIES OF CPI



6. The weightage assigned to the food and beverages category has been revised downward in the new series to 36.75% from the earlier 45.86%. The lower weightage of the relatively volatile food category may make the headline inflation number less volatile, all other things remaining equal.

7. The housing category, with an earlier weight of 10.07%, has been expanded to also include water, electricity, gas and other fuels, and this combined category now has a weight of 17.67% in the new series.

Comparison of 2012 series with 2024 series in coverage

Coverage in retail inflation

	2012 series	2024 series
Rural markets	1,181	1,465
Urban markets	1,114	1,395
Online markets	NIL	12
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Items (weighted)	299	358
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Source : MoSPi

Comparison of weightages as per CPI 2012 and CPI 2024

CPI based on retail inflation

Change in weight		
Divisions	CPI 2012	CPI 2024
Food & beverage	42.62	36.75
Pan, tobacco, intoxicants	2.38	2.99
Clothing & footwear	6.53	6.38
Housing, water, electricity, gas and other fuels	16.89	17.66
Furnishings, household equipment and routine household maintenance	3.66	4.47
Health	5.9	6.1
Transport	6.39	8.8
Information & communication	3.32	3.61
Recreation, sport and culture	1.55	1.52
Education services	3.51	3.33
Restaurants and accommodation services	3.25	3.35
Personal care, social protection and miscellaneous goods and services	4	5.03

Changes

Addition

- Rural housing
- Online media service provider/ Streaming services
- Value added dairy products
- Barley & its products
- Pen-drive & external hard disk
- Attendant
- Babysitter
- Exercise equipment

Deletion

- VCR/VCD/DVD player, hiring charges
- Radio
- Tape recorder
- Second hand clothing
- CD/DVD
- Audio/video cassettes
- Coir/rope

Source: MoSPI

HOW TO VIEW THIS DEVELOPMENT?

The government should also stick to its plan to revise the CPI every five years and not wait another 11 years to update it!

MORE ACCURATE INFLATION DATA HAVE SEVERAL IMPLICATIONS

- More accurate inflation data have several implications for macroeconomic stability and monetary and fiscal policy.
- Food inflation in India is notoriously volatile, quickly reflecting supply bottlenecks as well as the vagaries of the weather. A more realistic weightage for food stands to make the overall index more stable.
- This, in turn, can increase predictability in Budget-making, since some aspects are linked to the CPI, such as inflation-indexed dearness allowance and dearness relief.
- The updated CPI gives the Reserve Bank of India's Monetary Policy Committee a more accurate picture of inflation as it decides the various policy interest rates.

The calculations primarily rely on Annual Survey of Industries, Household Consumption Expenditure Surveys, and administrative records.

HOW DO THE ECONOMIES MEASURE GROSS DOMESTIC PRODUCT (GDP)?

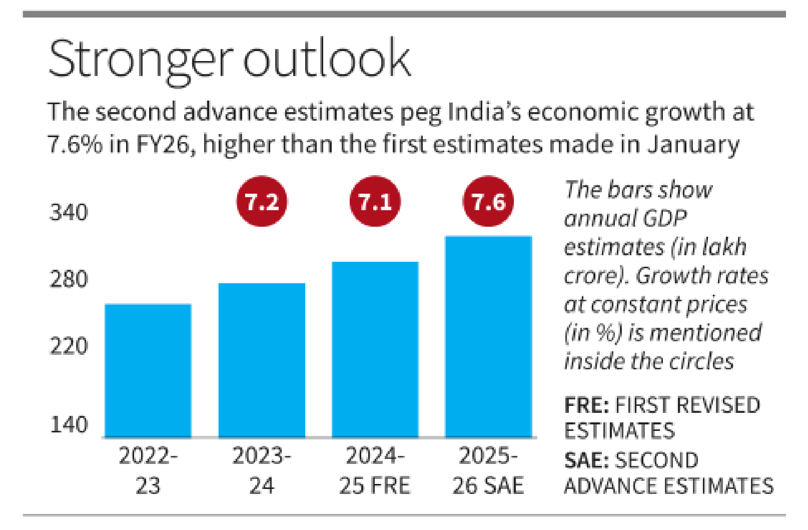
- Various countries use three different lenses to assess GDP. First, the production method, which adds up the value added at every stage of production across industries.
- The second, expenditure method, which totals up spending by households, businesses, government and net exports (exports – imports).
- Third is the income method, which adds up everyone's earnings from wages, rents, interest, and profits. Whichever way we calculate, the answer should more or less match.
- In India, the Ministry of Statistics and Programme Implementation (MoSPI), releases national GDP estimates five times for a given financial year - first advance estimates, followed by second advance, provisional, first revised and final estimates, each incorporating more comprehensive data.

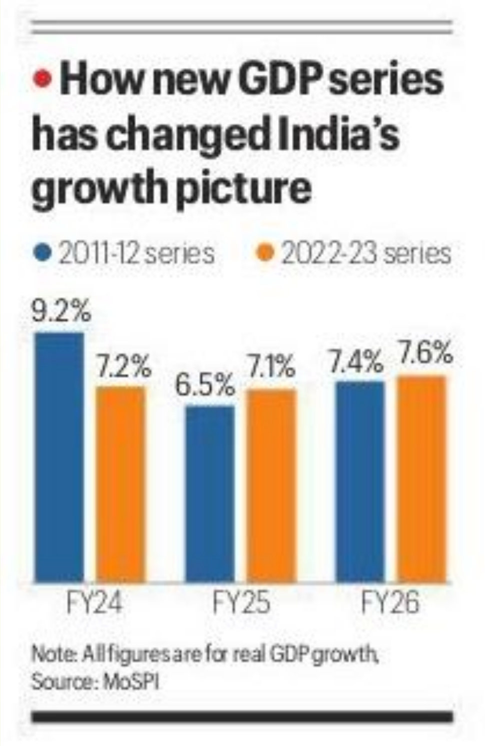
GDP BASE YEAR HAS BEEN REVISED SEVEN TIMES SINCE INDEPENDENCE

- The GDP base year has been revised seven times since the first official series in 1956 with the base year 1948-49.
- India on February 27, 2026, released a new GDP series with 2022-23 as the base year, replacing the present 2011-12 series.
- As per the current revision, double deflation across sectors has been introduced with robust data availability. It also focused on sharper measurement of the informal economy and expanded usage of real-time data available through the Goods and Services Tax network, along with other high-frequency indicators.

Learning Space

WITH NEW GDP SERIES (2022-23), THE GDP GROWTH RATE FOR FY26 IS REVISED TO 7.6% & FY24 GDP CAME DOWN BY 2%





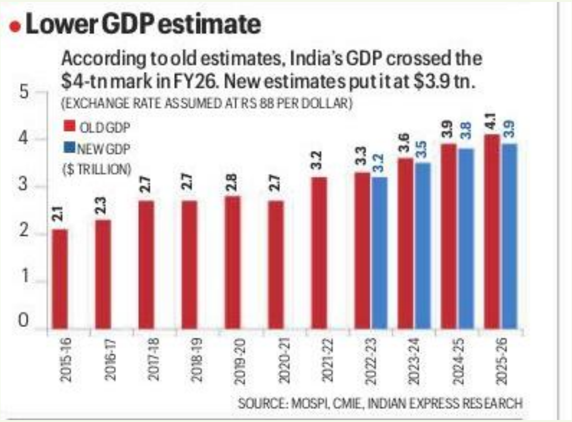
IMPORTANT CHANGES BROUGHT IN THE NEW SERIES WITH BASE YEAR 2022-23

The big GDP shift

Old series (2011-12 base)	New series (2022-23 base)
■Household sector, private consumption estimated through inter-surveys growth, proxies	■Taps more frequent PLFS & ASUSE data, and enhanced HCES with production-based estimates
■Quarterly GDP using pro-rata benchmarking method	■Proportional Denton* method for smoother series
■Single deflation used to arrive at real growth estimate	■Single deflation eliminated; double deflation introduced in mfg and agri
■Value added of multi-activity firms assigned to dominant activity based on CIN	■Value added using MGT-7/7A data that provide activity-wise turnover reporting

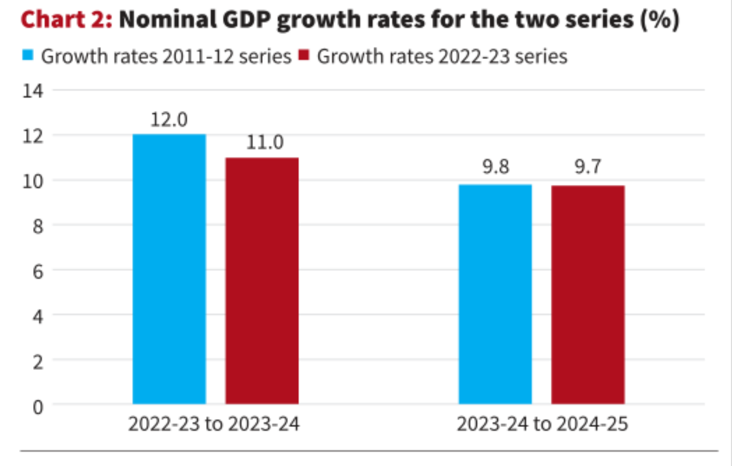
1. The functions of multi-activity enterprises have been segregated, which is expected to provide a clearer picture. Sector-wise data is taken from corporate filings.
2. The coverage of the unincorporated sector (informal) has been expanded. Instead of proxy indicators, the new series adopts annual survey-based level estimates using data from the Annual Survey of Unincorporated Sector Enterprises (ASUSE) and the Periodic Labor Force Survey.
3. Double deflation has been used in agriculture and manufacturing. This addresses a big criticism of India's national accounts.
4. GST data is also used to cross-check the estimates obtained from other data sources. The other data sources include e-Vahan for transport consumption, Public Finance Management System for government spends, and specialized studies on fodder, fisheries, dairy, and transport.

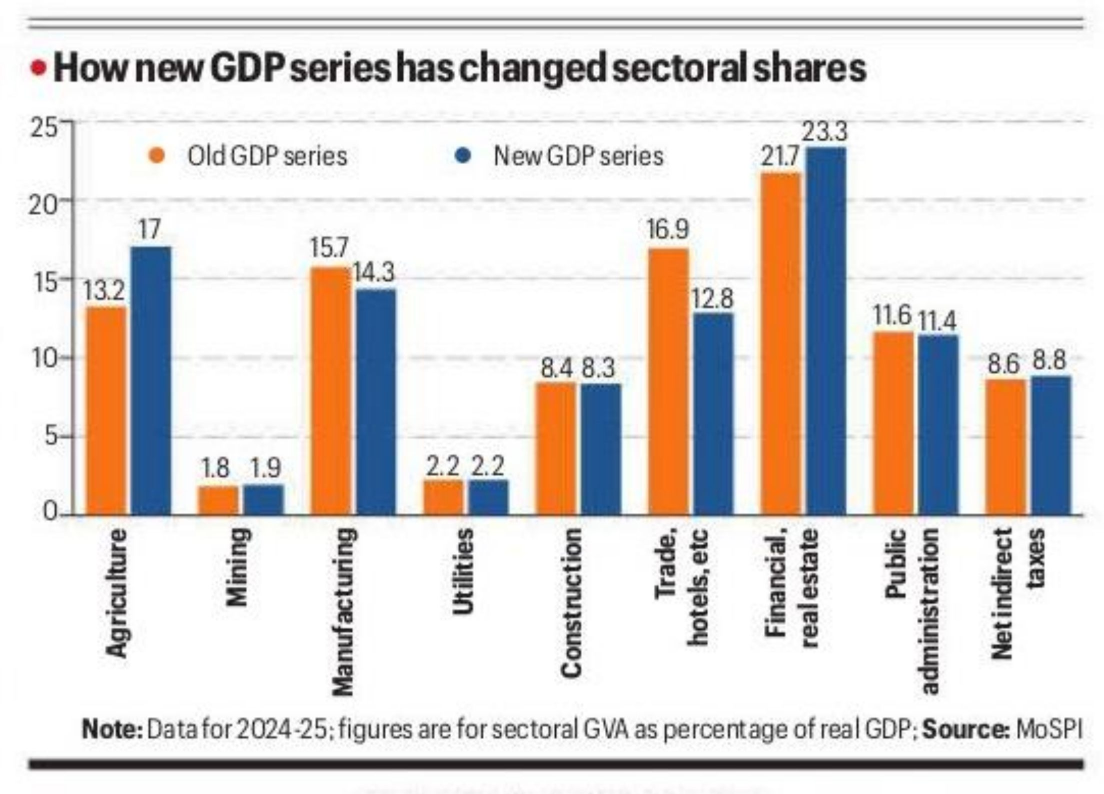
IMPORTANT CHANGES BROUGHT IN THE NEW SERIES WITH BASE YEAR 2022-23



5. The contribution of hired domestic workers like cooks, drivers, persons cleaning households are also being included in the GDP estimation under the head "activities of households as employers of domestic personnel"
6. The new framework also expands the coverage of gig and platform-based work with dedicated activity codes capturing ride hailing and delivery operations.
7. While the new series would still use WPI deflators with a 2011-12 base year, the usage has changed as both WPI and CPI deflators will be used at a more granular level. Separate item-level WPI for output and intermediate consumption are used in the manufacturing sector. There are plans to incorporate the Producer Price Index (PPI) in the near future.
8. Other tweaks include the adoption of Supply and Use Tables (SUT) to minimise discrepancies between GDP from production and expenditure approaches, enhancing internal consistency. SUT shows what industries produce and how products are used by industries or final consumers.

IMPORTANT ASPECTS IN THE CONTEXT OF NEW GDP SERIES





WHAT DID THE CRITICS SAY?

- Estimating the total number of unincorporated enterprises is the real problem.
- We have not had an Economic Census for long. There might have been death of many unincorporated units after COVID, and some new ones might have cropped up.
- Economists have long argued that India needs a Producer Price Index (PPI), which would help provide a more accurate measure of the difference between nominal and real GDP.

However, the new series, together with the recently released CPI series will substantially improve data quality and enable stakeholders to make more informed decisions.

WHY ARE WE DISCUSSING ABOUT CENTRAL BANK DIGITAL CURRENCIES?

- As per news reports, RBI is making suggestions to the Indian Government and encouraging it to push other BRICS countries to work together on using digital currencies for cross-border payments.
- RBI reportedly written to the Ministry of Finance to take advantage of India's chairmanship of the BRICS in 2026 to encourage the BRICS nations to use their CBDCs to facilitate cross-border payments.
- The BRICS countries at present are – Brazil, Russia, India, China, South Africa, Egypt, Ethiopia, Iran, UAE, and Indonesia. Several more countries are waiting in the wings to join the grouping.

WHAT DO YOU UNDERSTAND BY CENTRAL BANK DIGITAL CURRENCIES?

Though the concept of CBDCs was directly inspired by Bitcoin, it is different from decentralized virtual currencies and crypto assets, which are not issued by the state and lack the legal tender status.

- CBDC is a legal tender issued by a Central Bank entirely in digital form. It is the same as a fiat currency and is exchangeable one-to-one with the fiat currency, only its form is different.
- CBDC can be transacted using wallets backed by blockchain and is separate from your bank account.
- In December 2022, the RBI launched India's CBDC, known as the Digital Rupee or E-Rupee, on a pilot basis for retail users. Currently, RBI is conducting pilot projects of two types of CBDCs - retail and wholesale.
- UPI facilitates transfer of rupees from one bank account to another, whereas CBDCs move from a wallet to another with each transaction recorded on a blockchain - in essence, a digital ledger.
- CBDCs enable the user to conduct both domestic and cross-border transactions, which do not require a third party or a bank.

HOW DO YOU DEFINE A STABLECOIN?

At present, Tether and USDC are the top two stablecoins globally. Both are pegged to the US Dollar and make up around 90% of the global stablecoin market. In June,2025, the US Senate passed the Guiding and Establishing National Innovation for US Stablecoins Act (Genius Act).

- As per Bank for International Settlements, Stablecoin can be defined as a cryptocurrency that aims to maintain a stable value relative to a specified asset or a pool or basket of assets.
- They are blockchain-based digital assets designed to maintain a consistent value over time. They are backed by reserves such as fiat currencies, commodities, or other crypto assets.
- As per J.P. Morgan, there are two categories of stablecoins:
  - ✓ Fully reserved stablecoins - these are backed one-to-one by high-quality liquid assets like fiat currency or short-term government securities held in the reserve. It offers a stable price as each issued coin is supported by an underlying asset.
  - ✓ Algorithmic stablecoins - these maintain their peg through smart contracts that respond to supply and demand imbalances by minting or burning tokens. If an algorithmic stablecoin trades above its peg, the protocol mints additional tokens to reduce its price. Conversely, if it trades below its peg, the protocol burns tokens to increase its price.

WHAT ARE THE BENEFITS OF USING CBDCs?

- Being entirely digital and linked to a blockchain makes CBDCs extremely transparent. A blockchain is a ledger visible to all parties and immutable in structure. Once a transaction is recorded, it is permanent. It cannot be deleted or modified.
- As cross-border transactions are a major route for black and laundered money, the transparency and immutability of CBDCs could be a huge advantage in tracking these transactions.
- They can be programmed to be usable only for certain transactions - on the basis of expiry dates, geo-location, merchant registration codes, particular merchant categories, etc.
- The blockchain can also be programmed to record details such as the names and other identifiers of the payer's and payee, adding further transparency.

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